

Quarterly Investment Report

Q1 2021 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	58.0%	+2.62%	+4.14%
Credit	21.9%	-1.45%	+0.30%
Equities	10.4%	+4.00%	+1.93%
Property	6.9%	-0.12%	+3.00%
Cash	8.3%	+0.76%	+2.27%

Market Commentary

During Q1 2021, gilt yields moved by approximately -44bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.